

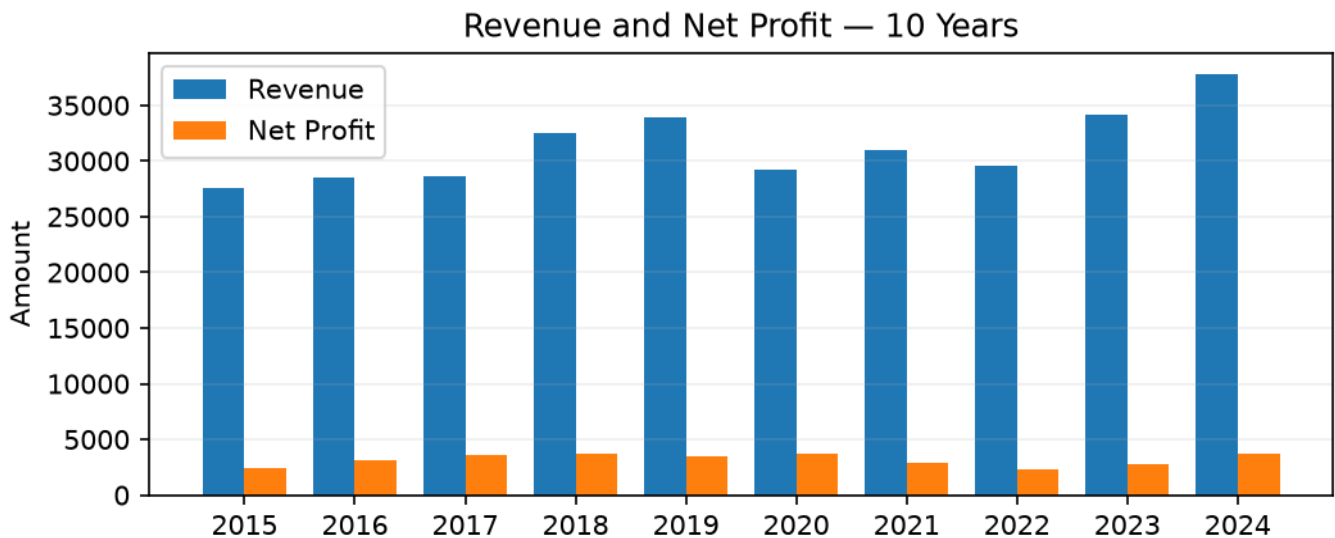
Hero MotoCorp Ltd

HEROMOTOCO

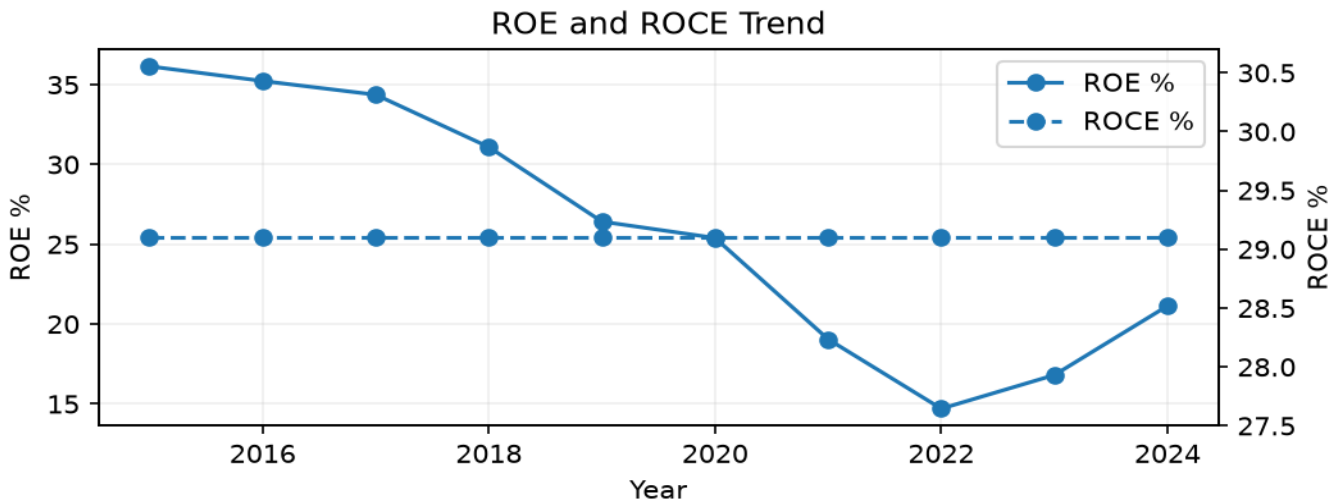
Sector: Consumer Discretionary

ROE 21.14%	ROCE 29.10%	Net Profit Margin 9.90%
D/E 0.03	Revenue CAGR 5Y 2.15%	FCF 3,095.00 Cr

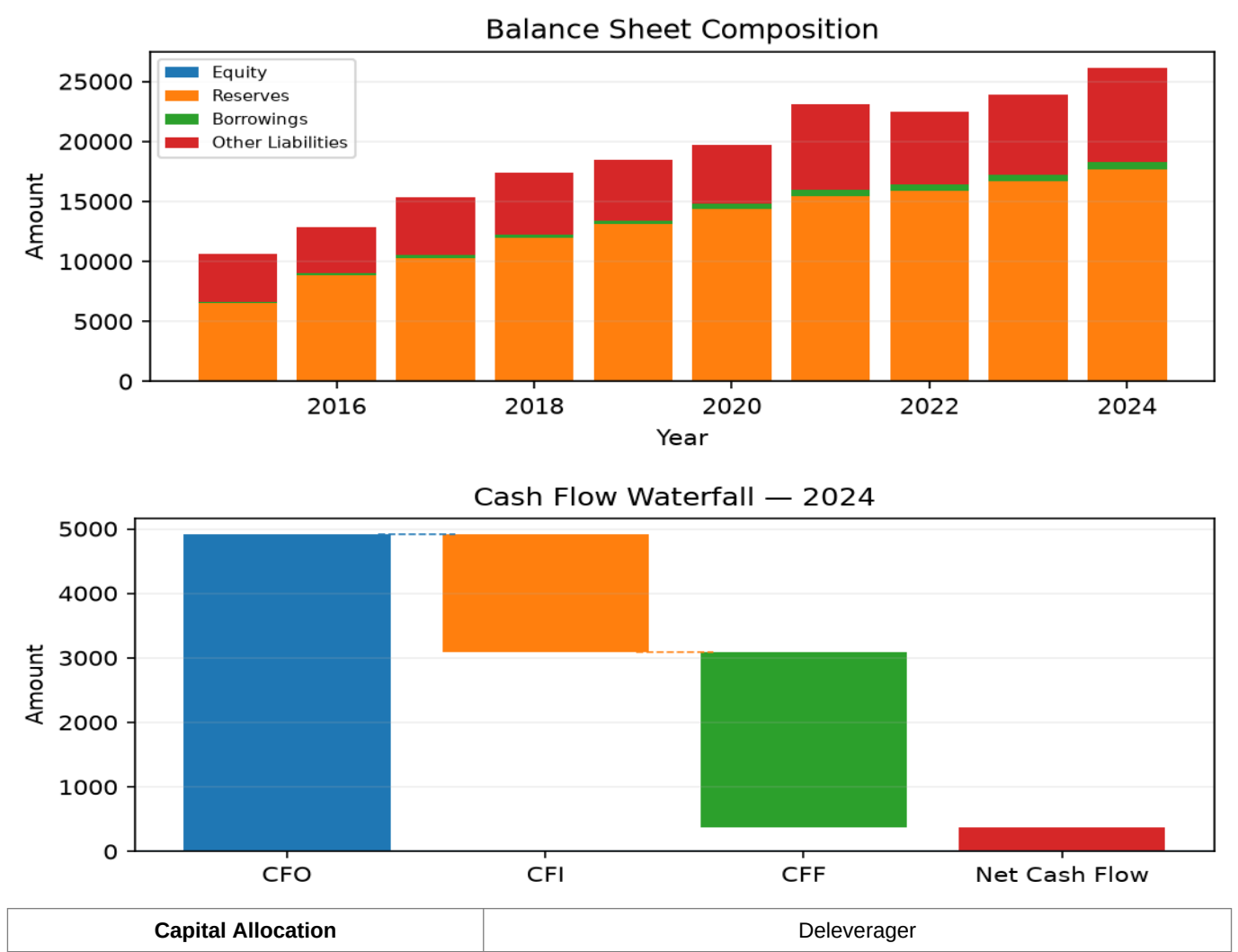
Revenue & Profit Trend



Return Trend



Financial Structure & Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline (confidence 95%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (confidence 95%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (confidence 90%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (confidence 85%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (confidence 75%)

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (confidence 85%)
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (confidence 85%)